A.P.C. 107

1927
Eo
4736-A

DEPT. OF STATE
OCT 6 1927
DIVISION OF PUBLICATIONS

ALIEN PROPERTY CUSTODIAN
ARLINGTON BUILDING
VERMONT AVENUE AND H STREET
WASHINGTON

October 5
1927

Mr. Griffin,
Division of Publications,
State Department,
Washington, D. C.

Dear Sir:—

The President to-day signed an Executive Order authorizing the private sale by this office of certain shares of preferred stock of the Schutte & Koerting Company.

It will be appreciated if your Department will treat this Order as confidential.

Very ~~truly yours~~,

Howard Sutherland
HOWARD SUTHERLAND,
Alien Property Custodian.

HS/dch

Released
March 18, 1935.

EXECUTIVE ORDER

DEPT. OF STATE
OCT 5 1927
DIVISION OF PUBLICATIONS

AUTHORIZING THE ALIEN PROPERTY CUSTODIAN TO SELL AT PRIVATE SALE CERTAIN SHARES OF STOCK OF THE SCHUTTE & KOERTING COMPANY.

OCT 5 1927

By virtue of the authority vested in me by an Act of Congress entitled "An act to define, regulate, and punish trading with the enemy and for other purposes", approved October 6, 1917, known as the "Trading with the Enemy Act", and the Amendments to such Act embodied in "An act making appropriations to supply urgent deficiencies in the appropriations for the Fiscal year ending June 30th, 1918, and prior fiscal years on account of war expenses and for other purposes", approved March 28th, 1918, and the amendment to such act embodied in "An Act making appropriations to supply deficiencies in appropriations for the fiscal year ending June 30th, 1919, and prior fiscal years on account of war expenses, and for other purposes", approved November 4th, 1918, and all other amendments thereto, to make certain orders such as that herein contained, I hereby, in the public interest, make the following determination, order, rule and regulation:

The Alien Property Custodian is hereby authorized to sell at private sale without public or other advertisement three thousand (3000) shares of the preferred capital stock and accumulated dividends of the Schutte & Koerting Company, Philadelphia, Pennsylvania, of a par value of $100.00 per share, heretofore required to be conveyed, transferred, assigned and delivered to the Alien Property Custodian as the property of Ernst Koerting, deceased, for Three Hundred Twenty-five Thousand ($325,000.00) dollars upon the following terms, viz., One Hundred Fifty Thousand ($150,000.00) Dollars in cash and the remainder, One Hundred Seventy-five Thousand ($175,000.00) Dollars, represented by a note payable July 1, 1928, with interest at five (5%) per cent; the said stock to be held as security by the Alien Property Custodian until the said note is paid.

My reasons for the foregoing determination and order are:

First: That the Schutte & Koerting Company is a comparatively small concern. It has outstanding $100,000.00 of common stock divided into one thousand (1000) shares of $100.00 par value each, and $300,000.00 of preferred stock divided into three thousand (3000) shares of a like par value. The Alien Property Custodian holds the entire issue of the preferred stock, but no common. Voting privileges are in the common stock exclusively.

Second: That no dividends have ever been paid to the Alien Property Custodian on the preferred stock so that he is placed in the position of holding the entire issue of preferred stock of the company without receiving any return thereon, and without the possibility of a voice in the management of the concern.

Third: That the stock is held for account of the estate and the heirs of the estate have signified their willingness to accept this price and have requested the Alien Property Custodian to negotiate the sale on the terms as hereinbefore stated.

Fourth: That considering the current position and indicated earning ability of the Company, it would appear the offer of Three Hundred Twenty-five Thousand ($325,000.00) Dollars for the three thousand (3000) shares of preferred stock and accumulated dividends represents a fair market value. Also, that in view of the fact that the common and preferred issues are closely held, there is little public interest in the affairs of the company and the shares have no established market. It is therefore believed that advertisement and public sale of the stock would involve unnecessary expense and would not result advantageously to the trust.

Calvin Coolidge

THE WHITE HOUSE

October 5, 1927.